

ACME

Q2 2026 Investment Report

Quarterly Review — Table of Contents Edition

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Executive Summary

The Acme managed portfolios delivered strong risk-adjusted returns in Q2 2026, outperforming composite benchmarks by **240 basis points**. Disciplined position sizing and proactive rebalancing contributed to the outperformance.

Volatility remained below strategic thresholds throughout the period. The investment committee maintained its tactical overweight in global equities while reducing duration exposure in anticipation of central bank guidance.

Key Findings

- Portfolio alpha: +2.4% vs benchmark on a risk-adjusted basis
- Maximum drawdown: –1.8% (within the approved –5.0% limit)
- Sharpe ratio improved from 0.82 at Q1 close to 1.04 at Q2 close
- All regulatory and mandate risk limits respected throughout the period

Quarter Overview

Global markets experienced moderate volatility in April before recovering strongly through May and June. The portfolio's defensive positioning in April limited drawdown while the subsequent recovery in risk assets drove outperformance.

Central bank communications remained broadly supportive of risk assets. The European Central Bank delivered a 25bp cut in June, while the Federal Reserve held rates steady pending further data, with markets pricing two cuts by year end.

Fixed Income

The fixed income allocation contributed **+0.6%** to total portfolio returns over the quarter. Duration positioning added value as yields fell across the curve during May, partially reversing the Q1 sell-off.

Duration Positioning

The portfolio ran a slight short-duration bias entering Q2, which was closed as evidence of a softer economic landing emerged. Investment-grade credit spreads tightened an average of 18 basis points, with the biggest moves in financials and utilities.

Positioning was concentrated in the 5–10 year segment of the curve where the risk/reward was most favourable. Exposure to sovereign bonds was maintained at strategic weight across core developed markets.

Credit Quality

The portfolio maintained an average credit quality of AA– across fixed income holdings. No defaults occurred within the investment universe during the quarter. High-yield exposure remained at 18% of the fixed income sleeve, within the 25% strategic limit.

- 1 Investment grade: 72% of fixed income allocation
- 2 High yield: 18% — within the 25% strategic ceiling
- 3 Cash and near-cash: 10%

Fixed Income Performance

Detailed attribution by sub-asset class.

Sub-Asset Class	Weight	Return	Contribution
Investment Grade Corporates	72%	+1.4%	+1.01%
High Yield	18%	+2.1%	+0.38%
Government Bonds	10%	+0.6%	+0.06%
Total Fixed Income	100%	+1.5%	+0.60%

Equity Exposure

Equity holdings delivered **+4.1%** for the quarter, outperforming the MSCI World index by 310 basis points. The overweight in technology and healthcare drove the bulk of the outperformance.

Sector Breakdown

Overweight positions in defensive sectors — healthcare, consumer staples — provided resilience during the April drawdown. The subsequent recovery in technology names amplified returns in May and June.

Sector	Portfolio Weight	Benchmark Weight	Active Weight	Return
Technology	26.4%	22.1%	+4.3%	+9.8%
Healthcare	14.2%	12.8%	+1.4%	+6.2%
Financials	13.1%	13.9%	−0.8%	+3.4%
Consumer Staples	10.8%	9.2%	+1.6%	+2.1%
Industrials	9.4%	10.1%	−0.7%	+4.6%
Other	26.1%	31.9%	−5.8%	+1.8%

Geographic Allocation

North America remains the largest geographic exposure at 54% of the equity sleeve, reflecting index weights and conviction in US earnings resilience. European equity exposure was trimmed modestly in May on softer macro data. Emerging market exposure at 11% is slightly below strategic weight. The committee will review EM allocation at the July meeting following the latest round of central bank decisions across key EM economies.

Risk Management

The risk management framework performed as designed throughout the quarter. All mandates remained within their approved risk budgets and no limit breaches were recorded.

Value-at-Risk Analysis

Value-at-Risk at the 99% confidence level (1-day horizon) peaked at **1.82%** during the April sell-off, comfortably below the 2.5% mandate limit. The aggregate VaR across all mandates decreased over the quarter as correlation benefits from diversification increased.

Stress Testing

Stress tests applied the 2020 pandemic scenario, the 2022 inflation shock, and a bespoke 2026 geopolitical escalation scenario. All mandates passed under each scenario, with the worst outcome a –8.3% drawdown under the pandemic scenario, within the –15% limit.

Counterparty credit risk remains well within approved limits. Exposure to the top five counterparties was reduced by 12% versus Q1 following a scheduled portfolio review.

Appendix — Top Holdings

The following table lists the twenty largest holdings by portfolio weight as at 30 June 2026.

Security	Asset Class	Region	Weight %	YTD %
Apple Inc	Equity	North America	3.42	+18.7
Microsoft Corporation	Equity	North America	3.18	+22.1
NVIDIA Corporation	Equity	North America	2.91	+71.4
US Treasury 4.25% 2028	Fixed Income	North America	4.20	+2.1
US Treasury 3.875% 2031	Fixed Income	North America	3.80	+3.4
Alphabet Inc Class A	Equity	North America	2.44	+31.2
Amazon.com Inc	Equity	North America	2.31	+26.8
Nestlé SA	Equity	Europe	1.74	+4.1
ASML Holding NV	Equity	Europe	1.62	+38.6
UK Gilt 4.0% 2031	Fixed Income	Europe	2.60	+1.8
German Bund 2.5% 2029	Fixed Income	Europe	2.40	+2.7
JPMorgan Chase & Co	Equity	North America	1.87	+12.4
iShares Core MSCI EM ETF	Equity	Emerging	2.10	+6.4
Samsung Electronics	Equity	Asia Pacific	1.44	+8.3

Security	Asset Class	Region	Weight %	YTD %
Toyota Motor Corporation	Equity	Asia Pacific	1.31	+14.9
Meta Platforms Inc	Equity	North America	1.88	+44.2
Novo Nordisk A/S	Equity	Europe	1.76	+11.3
AstraZeneca PLC	Equity	Europe	1.28	+8.6
Blackstone Real Estate	Alternatives	North America	1.50	+7.2
Cash & Near-Cash Equivalents	Cash	Global	4.31	+0.4

All figures as at 30 June 2026. Past performance is not a reliable indicator of future results. This document is for professional investors only.